better targeting of subsidies and for reducing leakages involved in their delivery.

Direct Benefit Transfer (DBT)

The DBT plan was introduced on ***January 1, 2013*** with seven schemes in 20 districts. India has embarked on a DBT scheme in selected districts wherein it has been envisaged that benefits such as scholarships, pensions, and MGNREGA (Mahatma Gandhi National Rural Employment Guarantee Act) wages will be 'directly credited' to the bank or post office accounts of identified beneficiaries. The DBT scheme *will not substitute* entirely for delivery of public services for now. It will replace neither food and kerosene subsidies under the TPDS nor fertilizer subsidies. The DBT is ***designed*** to –

(i) improve targeting,
(ii) reduce corruption,
(iii) eliminate waste,
(iv) control expenditure, and
(v) facilitate reforms.

Electronic transfer of benefits is a simple design change and transfers that are already taking place through paper and cash mode will now be done through electronic transfers. This has been enabled by rapid roll out of *Aadhar* (Unique Identity) now covering 200 million people and rapidly growing to cover 600 million (nearly half of our population), with the *National Population Register (NPR)* covering the other half of the populace. The DBT in tandem with such unique identification will ensure that the benefits reach the target groups faster and minimize 'inclusion' and 'exclusion' errors as well as 'corruption' that are associated with manual processes.

Interest Payments

The cumulative impact of the level of deficit and debt is reflected in the interest payments outgo. As a proportion of GDP, interest payments fell in the post FRBM period and have continued to be low at around **3.1** per cent